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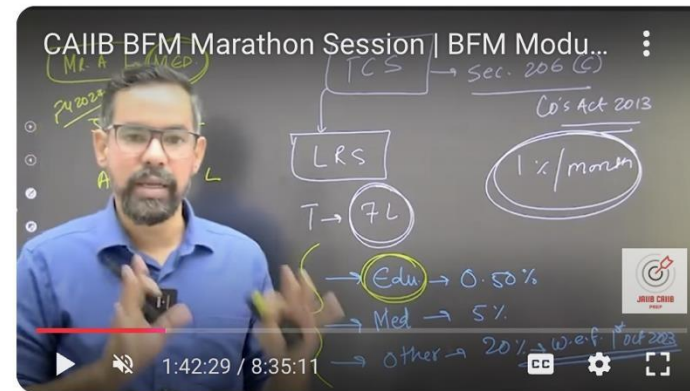
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MODULE – D

EMERGING BUSINESS SOLUTIONS

- Unit 19. Hybrid Finance
- Unit 20. Startup Finance
- Unit 21. Private Equity and Venture Capital
- Unit 22. Artificial Intelligence
- Unit 23. Business Analytics as Management Tool
- Unit 24. Green and Sustainable Financing
- Unit 25. Special Purpose Acquisition Companies



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UNIT 19

HYBRID FINANCE

STRUCTURE

- 19.0 Objectives
- 19.1 Introduction
- 19.2 Advantages and Disadvantages of Hybrid Securities
- 19.3 Types of Hybrid Securities
- 19.4 Preference Share Capital
- 19.5 Features of Warrants
- 19.6 Features of Convertible Debentures
- 19.7 Differences between Warrants and Convertible Debentures
- 19.8 Valuation of Warrants
- 19.9 Valuation of Compulsorily Convertible (Partly or Fully) Debentures
- 19.10 Objective of Issuing Warrants and Convertible Debentures
- 19.11 Features of Foreign Currency Convertible Bond (FCCB)
- 19.12 Mezzanine Financing
- 19.13 Innovative Hybrids

Let Us Sum Up



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A hybrid security is a single financial security that combines two or more different financial instruments. Hybrid securities, often referred to as "hybrids," generally combine both debt and equity characteristics. The most common type of hybrid security is a convertible bond that has features of an ordinary bond but is heavily influenced by the price movements of the stock into which it is convertible.

19.2 ADVANTAGES AND DISADVANTAGES OF HYBRID SECURITIES

Advantages

1. **Higher yield:** Hybrid securities generally offer a higher rate of return than debt
2. **Less volatile market price:** Hybrid securities show less volatility in their market price as there is a regular, pre-determined, return.
3. **Risk diversification:** Hybrid securities can diversify the overall risk for the issuer as these do not have any strict definition of either equitable securities or debt securities,

Disadvantages

Assessment is difficult: Calculation of return on hybrid securities is not as simple as on equity or bond securities and, therefore, investing through these is more complicated.

19.3 TYPES OF HYBRID SECURITIES

While there are many types of hybrid securities, the most common are:

Preference Shares

Warrants

Convertible Debentures/Bonds

Foreign Currency Convertible Bonds

Mezzanine Financing

19.4.1 Salient Provisions of the Companies Act, 2013

As per Section 43 of the Companies Act, 2013, Preference Share Capital in case of any company limited by shares, means that part of the issued share capital of the company which carries or would carry a preferential right with respect to—

- (a) payment of taxable or tax-free dividend, as a fixed amount or at a fixed rate.
- (b) repayment of paid-up or deemed paid-up share capital, in the case of a winding up or repayment of capital, with or without any fixed premium or premium on any fixed scale, specified in the memorandum or articles of the company.
- (c) capital shall be deemed to be preference capital, notwithstanding that it is entitled to either or both of the following rights, namely:
 - (a) right to participate in dividends over and above the preferential right to dividend, with capital not entitled to any preferential right; and/or
 - (b) right to participate fully or to a limited extent in the surplus left on winding up after all payments are made, with capital not entitled to that preferential right.

In terms of provisions of Section 47, where the dividend in respect of a class of preference shares has not been paid for a period of two years or more, such class of preference shareholders shall have a right to vote on all the resolutions placed before the company.

Section 55 relating to the issue and redemption of preference shares by a company limited by shares, further states that issue of irredeemable shares is prohibited and puts an outer limit of a period not exceeding twenty years from the date of their issue but permits issue of preference shares for a period exceeding twenty years for infrastructure projects, subject to the redemption of such percentage of shares as may be prescribed on an annual basis at the option of such preferential shareholders. Specific terms and conditions need to be fulfilled for such redemption.

19.4.3 Purpose of issuing Preference Shares

The following are some of the reasons why preference shares may be issued:

- a) It is an improved method for acquiring capital in an uninteresting primary market.
- b) If a firm's shares can't be bought and sold, it might have trouble obtaining funds, but the possibility of getting one's money back at some point in the future could entice investors to invest in the company.
- c) In most cases, the preference shares are redeemed when there is a surplus of cash and there are no other successful ventures in which to invest the money.
- d) If there is a loss or a reduction in profit, there will be no dividend paid out, which is not the case with debentures or loans.

Types of Preference Shares

Cumulative Preference Shares

- ✓ Accumulate unpaid dividends until fully paid.
- ✓ Dividends are a fixed amount.
- ✓ Holders may get voting rights if dividends are unpaid for 2+ years.

Non-Cumulative Preference Shares

- ✓ Do not carry forward unpaid dividends.
- ✓ Dividends only paid if declared for that year.

Participating Preference Shares

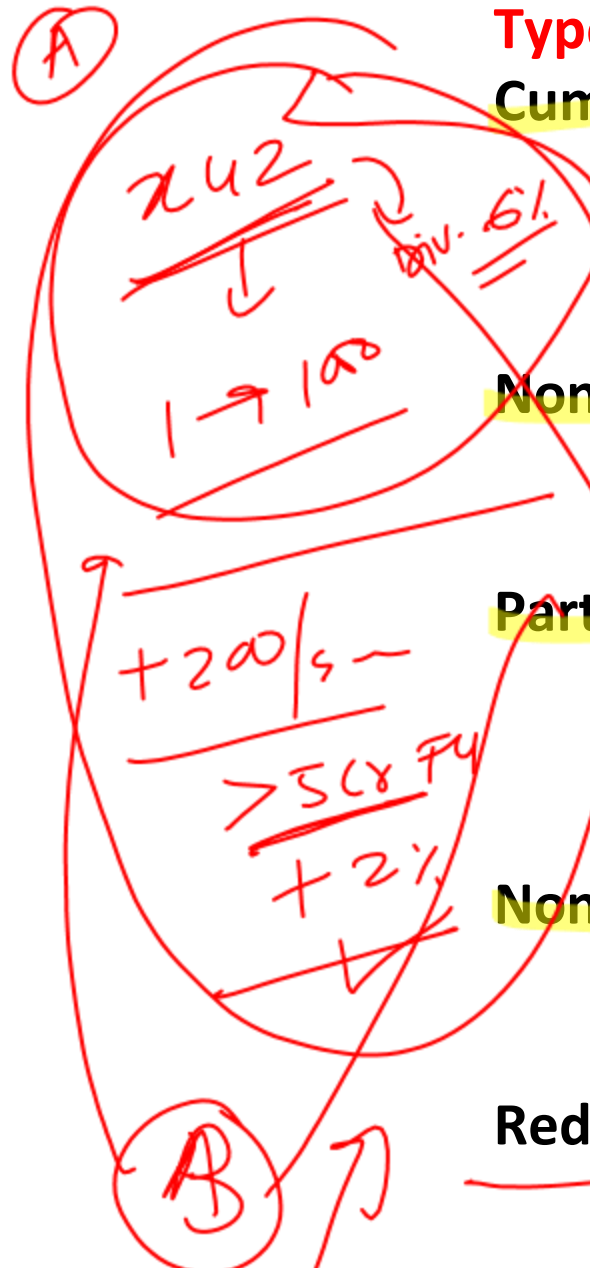
- ✓ Entitled to a fixed dividend plus a share in surplus profits after equity holders are paid.
- ✓ May also share in surplus on winding up after equity holders.

Non-Participating Preference Shares

- ✓ Only get a fixed dividend.
- ✓ No share in surplus profits or winding-up surplus.

Redeemable Preference Shares

- ✓ Can be bought back by the company after a fixed time or earlier.
- ✓ May include a call option for early redemption





Non-Redeemable Preference Shares

- ✓ Cannot be redeemed except during liquidation.
- ✓ Not allowed to be issued in India.

Convertible Preference Shares

- ✓ Can be converted into equity shares as per issue terms.

Non-Convertible Preference Shares

- ✓ Cannot be converted into equity shares.

Adjustable-rate Preference Shares

- ✓ Dividend rate varies with market interest rates.

19.4.2 Types of Preference Shares

The various kinds of preference shares that can be issued are as follows:

- 
- a) **Cumulative Preference Shares:** A cumulative preference share is one that holds the right to a definite sum of dividend or dividend at a predetermined rate. These shares are more valuable than regular preference shares. The name “Cumulative Preference Shares” comes from the fact that the dividend on these shares will continue to accumulate unless they are completely paid out. Till payment is done, the unpaid dividends are recorded as a contingent liability in the company’s balance sheet. As mentioned above, in the event that the dividend is delayed for a period of at least two years, the holders of such shares shall be granted the right to participate in and vote on every resolution and every item brought before the general body meeting of the shareholders.
 - b) **Non-Cumulative Preference Shares:** A non-cumulative preference share grants the holder the right to receive a dividend payment that is predetermined in advance. If for some reason a dividend is not declared throughout the course of a given year, the right to receive that dividend for that year will be forfeited. As a consequence of this, the owner of such a share will never be eligible to receive dividends in arrears in the future.
 - c) **Participating Preference Shares:** In addition to the right to a fixed dividend, these shares give the holder the right to participate in any surplus profits that remain after equity shareholders have been paid dividends at a predetermined rate. This right is granted regardless of whether or not the fixed dividend is paid out. Additionally, in the event that the company is wound up, the holder of this type of share is entitled to receive a predetermined amount of the surplus as well, but only after the equity shareholders have been compensated in full.
 - d) **Non-Participating Preference Shares:** A non-participating preference share is a share that only receives a predetermined rate of dividend payment each year and does not get any additional rights in profits or in the surplus when the company is wound up.
 - e) **Redeemable Preference Shares:** These shares are issued on the condition that the company will redeem them after the specified period or even earlier at the company’s option. A call option may also be incorporated in this type of shares, giving the company the right to redeem at a specified time and rate.
 - f) **Non-Redeemable Preference Shares:** The preference shares that do not come with an arrangement regarding redemption, are referred to as Non-Redeemable Preference Shares. Irredeemable preference shares can be redeemed by a company only on liquidation or shutting down of operations. However, Indian companies are not permitted to issue irredeemable preference shares.
 - g) **Convertible Preference Shares:** The holders of these shares have the right to have them converted into equity shares, at their discretion, in accordance with the terms and circumstances of the issue of which they are a part.
 - h) **Non-Convertible Preference Shares:** A non-convertible preference share is one in which the owner of the preference share does not have the right to have his holdings converted into equity shares. Unless explicitly indicated otherwise, preference shares cannot be converted into common stock.
 - i) **Adjustable-rate Preference Shares:** Adjustable-rate preference shares do not qualify for a fixed dividend rate. The dividend pay-outs depend on the interest rates prevalent in the market.

Warrants: A stock warrant represents the right to purchase a company's stock at a specific price and at a specific date. A stock warrant is issued directly by a company to an investor. Stock options are purchased when it is believed the price of a stock will go up or down. Stock options are typically traded between investors.

Key Features of Stock Warrants:

Right, not an obligation: The warrant holder can choose to exercise the warrant (buy the shares) or let it expire worthless.

Predetermined price (strike price): The price at which the warrant can be exercised is set when the warrant is issued.

Specific timeframe: Warrants have an expiration date, after which they are no longer valid.

Issued by the company: Unlike stock options, which are often created by third parties, warrants are issued directly by the company.

Financing tool: Companies use warrants to raise capital, attract investors, or incentivize certain actions.

Features of Warrants: Warrants give holders the **right (not obligation)** to buy equity shares at a **predetermined price and time**.

Purpose

- ✓ Often used to **sweeten debt deals** or issued to promoters/investors to increase stake in the company.

Example Case

- ✓ Man Industries issued warrants to promoters at ₹65 each (₹5 issue price + ₹60 premium).
- ✓ SEBI regulations were followed for preferential allotment.
- ✓ 25% of the total price must be paid upfront; the rest on conversion. If not converted, the upfront payment is forfeited.

Regulatory Safeguards (SEBI)

- ✓ **Conversion price** must not be less than:
 - ✓ Average of weekly high/low closing prices over the **past 6 months**, or
 - ✓ Average of weekly high/low closing prices over the **past 2 weeks**.

Investor Rights

- ✓ **No dividend or voting rights** until warrants are converted to equity shares.

Convertible Debentures

Convertible Debentures in India

- ✓ Introduced in the 1980s; initially required to be compulsorily convertible at a predetermined price.
- ✓ Regulated by SEBI after the Capital Issues Control Act was repealed in 1992.

SEBI Guidelines

- ❖ **Conversion premium and timing** must be disclosed in the prospectus.
- ❖ **Conversion window:**
 - ✓ Optional conversion allowed if it occurs between 18 to 36 months from allotment.
 - ✓ Conversions after 36 months require "put" and "call" options; else not approved.
- ❖ **Mandatory credit rating** for fully convertible debentures with terms beyond 18 months.

Types of Convertible Debentures

- ✓ **Automatically convertible** after 18 months.
- ✓ **Optionally convertible** within 36 months.
- ✓ **Convertible after 36 months** with "call" and "put" features.

Warrants

Convertible Debentures

Can be separated from debenture (if attached)

Cannot be separated from the option

Can be issued independently

Always issued with a debt instrument

Exercised for monetary compensation

Conversion is an accounting entry

Brings **new capital** into company

No new capital injected on conversion





19.10 OBJECTIVE OF ISSUING WARRANTS AND CONVERTIBLE DEBENTURES

In recent years, warrants and convertible debentures, the two types of financial instruments that are common in most parts of the world, have been gaining popularity in India. There are many hypotheses that have been put forward to account for their broad application. Conventional explanations, on one hand, and contemporary financial reasons, on the other, make up the two basic categories here.

19.10.1 Conventional Explanations

Two of the most common reasons cited by executives in the financial industry for the issuance of warrants and convertible debentures are as follows: (i) They make it possible for businesses to inexpensively issue debt; (ii) They give businesses the potential to offer equity shares at some point in the future and put an additional charge on top of the current pricing.

19.10.2 Modern Finance Explanation

The popularity of convertible debentures and debentures with warrants can be better understood with the help of modern financial theory, which provides improved explanations for this phenomenon. These instruments facilitate better matching of cash flows, generate financial synergy, and help alleviate agency issues.

19.10.2.1 Matching of Cash Flows

Financial instruments that can be easily serviced are typically preferred by businesses. Because of the low initial interest burden, convertible debentures or debentures with warrants may be tempting to a developing but risky company. Naturally, if the company is successful, the investors will try to convert their investment. Although it will result in pricey dilution, the company might not mind if it takes place when it is in a position to pay for it.

19.10.2.2 Financial Synergy

When it is particularly expensive or impossible to evaluate the risk characteristics of the issuing company, it makes sense to purchase convertible debentures as well as debentures that come with warrants. Imagine that you are conducting an analysis of a brand-new business that has plans to produce a brand-new product that will be offered for the very first time in India. You are unsure if the company is high risk (in which

Foreign Currency Convertible Bonds (FCCBs): Bonds issued in a **foreign currency**, combining features of debt and equity.

Conversion Option: Holders can convert bonds into equity at a predetermined price.

Coupon & Principal: Regular interest (coupon) + principal repayment, unless converted to equity.

Investors: Attracts hedge funds and foreign investors.

Call/Put Options: May include early redemption rights (issuer's or holder's side).

Advantages:

- ✓ Lower interest cost compared to plain vanilla bonds.
- ✓ Attractive due to conversion feature.

Risks:

- ✓ **Exchange rate risk:** Adverse changes increase outflows.
- ✓ **Credit risk:** Repayment risk if issuer defaults or goes bankrupt.

Mezzanine Financing

- ✓ **Hybrid finance tool** combining **debt and equity**.
- ✓ Lender gets **right to convert debt into equity** if borrower defaults.

Used for: Project financing, acquisitions.

Returns: Higher than debt, but lower than equity cost for the issuer.

Nature: Unsecured debt with variable interest; longer maturity (>5 years).

Risk/Cost: Expensive debt or cheap equity depending on structuring.



Innovative Hybrids: Combines conventional debt/equity with derivative contracts (swaps, options, etc.).

Examples:

Convertible Bearer Form Bond: Issued by Carlton (UK, 1992), £642.5 million, 7.5% coupon, 15-year term.

Commodity Risk Management Hybrid:

- ✓ Standard Oil (USA, 1986), \$37.5 million bond linked to oil prices.
- ✓ Redemption adjusted by oil price movements to mitigate commodity price risk.

Foreign Exchange Risk Management:

- ✓ Sperry Corporation (Switzerland, 1985), \$46.1M bond in Swiss Francs.
- ✓ Managed forex exposure using hybrid structure.



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UNIT 20

STARTUP FINANCE

STRUCTURE

- 20.0 Objectives
- 20.1 Introduction
- 20.2 Benefits to Startup Under the Startup Plan
- 20.3 Startup Definition in India
- 20.4 Challenges Faced by Startups
- 20.5 State Startup Policy
- 20.6 Pitch Presentation
- 20.7 Programmes and Competitions for Startups
- 20.8 Tax Exemptions
- 20.9 Funding
- 20.10 Investors' Outlook in Startups
- 20.11 Funding Schemes and Programmes
- 20.12 Programs Running in 2022
- 20.13 International Challenges and Bridges

Let Us Sum Up





- ✓ **Startup capital** is the funding an entrepreneur secures to cover the initial costs of a business until it becomes profitable.
- ✓ Sources of this capital include banks, venture capitalists, and angel investors.
- ✓ Investors favor venture capital because it provides substantial growth funding and expertise, guidance, and access to a wide network, which are critical for a startup's scalability.

Startup Definition in India

Initial Definition (Earlier Criteria)

An entity is considered a startup if:

- ✓ (a) It is up to 5 years old from incorporation/registration.
- ✓ (b) Its turnover $\leq$ ₹25 crore in any financial year.
- ✓ (c) It is focused on innovation, development, or commercialization of new products, processes, or services using technology/IP.





Expanded Startup Definition (As per Startup India Action Plan)

An entity qualifies as a startup if:

(a) It is incorporated as a **Private Limited Company, Registered Partnership Firm, or LLP** in India.

(b) It is **up to 10 years old** from incorporation/registration.

(c) Its **turnover $\leq$ ₹100 crore** in any financial year.

(d) It is working on:

✓ **Innovation, development, or improvement** of products/processes/services, or

✓ **A scalable business model** with high employment or wealth generation potential.

20.4 CHALLENGES FACED BY STARTUPS

The main challenges, faced by startups, may be listed as under:

1. Failure to plan appropriately
2. Unrealistic Expectations
3. Knowledge and skills gaps
4. Time management and productivity
5. Lack of Leadership
6. Fierce Competition, lack of demand, and Ineffective marketing
7. Winning Trust of Customers
8. Hiring Suitable Candidates
9. Partnership Decision Making.
10. Financial Management
11. Securing funding
12. Cyber Security

Pitch Presentation

- The Problem Statement i.e. The issues faced by business/society
- Solutions to solve the issue
- Business Model
- The Technology used
- Business and Commercial Activity
- The Competitive Environment
- The Team Composition
- Predictions and Significant Events
- Present Status and Timelines for Execution
- Executive Summary and call for action

The presentation of the pitch should be clear and concise, and it should emphasise the most significant aspects of the enterprise, rather than all of the intricacies. It should answer the maximum questions that an investor might have while investing in the venture and should be flexible depending on the type of venture for which the entrepreneur is looking for investment. In addition, it should address any concerns that the investor might have regarding the venture.

PitchDeck is an intuitive, all-in-all presentation building platform exclusively for start-ups, offered by Startup India. The platform focusses primarily on helping users build their first pitch deck from scratch with next to zero design effort.

Tax Exemptions for Startups in India

Section 56(2)(viib) – Angel Tax Exemption

- ✓ Introduced in Finance Act 2012 to prevent **tax evasion** through overvaluation of shares.
- ✓ Amount received above **Fair Market Value (FMV)** is treated as **income from other sources**.
- ✓ **Startups are exempt** from this tax if they self-declare, even if shares are issued above FMV.

ESOPs (Employee Stock Option Plans)

- ✓ **Double taxation** occurs:
 - ✓ At **exercise time**: Taxed on FMV minus exercise price (TDS deducted by employer).
 - ✓ At **sale time**: Taxed on capital gains.
- ✓ **Budget 2020 relief**: Tax on exercise can be **deferred up to 5 years**, or till employee leaves company or sells shares.

Tax Exemptions for Startups in India

Section 80-IAC – Income Tax Deduction

- ✓ **Turnover limit increased** to ₹100 crore from ₹25 crore.
- ✓ Startups can claim **100% tax deduction** for **3 consecutive years** out of 10 years from incorporation.
- ✓ **Effective from April 2021.**

Section 54 GB – Capital Gains Exemption

Individuals/HUFs are exempt from **capital gains tax** on selling residential property if:

- ✓ Proceeds are invested in equity shares of an **eligible startup**.
- ✓ The startup uses funds to buy **new assets** within 1 year.

For **closely held companies**, exemption allowed only if:

- ✓ **Condition 1:** Investor holds **≥51% shares for 5 years** continuously.
- ✓ **Condition 2:** Investor held **≥50% shares for the year in which loss is carried forward.**

FUNDING (Startup India Seed Fund Scheme)

Purpose of Funding

- ✓ Funding supports business operations such as **product development, trials, market entry, and commercialization.**
- ✓ Key barrier for startups is raising capital in early stages due to lack of access to investors.

Startup India Seed Fund Scheme (SISFS): Aimed at **idea-stage startups** that require **proof of concept** development, product trials, etc.

Eligibility Criteria for Startups:

- ✓ Recognized by **DPIIT**.
- ✓ Incorporated **not more than 2 years ago**.
- ✓ Have a **business idea** that's innovative, scalable, and market-ready.
- ✓ Use of **technology** is essential.
- ✓ Focus on sectors like **social impact, healthcare, energy, education, agriculture, defense**, etc.
- ✓ Should **not have received > ₹10 lakh** funding from other government schemes.
- ✓ Promoters must **hold at least 51% equity** as per SEBI.

FUNDING (Startup India Seed Fund Scheme)

Eligibility Criteria for Incubators

- ✓ Must be a **legal entity** like a society, trust, LLP, or company.
- ✓ Should have been in operation for **at least 2 years**.
- ✓ Must have capacity to **incubate at least 25 startups**.
- ✓ Should be involved in **seed funding** and not rely solely on third parties.
- ✓ Must have **at least 5 startups actively incubated** on application date.

Expert Advisory Committee (EAC)

- Formed by **DPIIT** to manage scheme execution and fund allocation.
- Members include:
 - ✓ NITI Aayog representative
 - ✓ Financial Advisor
 - ✓ Academicians
 - ✓ Secretaries from Ministries of Finance, Science, Technology, and Biotechnology

Selection of Startups (Startup India Seed Fund Scheme)

ISMC (Incubator Seed Management Committee) Composition

Each incubator must form an **ISMC** with members from the following:

- ✓ State Startup Nodal Team
- ✓ Venture Capital Fund/Angel Network
- ✓ Incubator nominee
- ✓ Academia expert
- ✓ Two successful entrepreneurs
- ✓ Industry expert
- ✓ Any other relevant stakeholder

Selection Process of Startups

- The **Expert Advisory Committee (EAC)** finalizes the ISMC composition.
- Selection is **transparent, open, and fair**, based on:
 - ✓ Online application via **Startup India Hub** (rolling basis).
 - ✓ Startups can apply to **up to 3 incubators**.
 - ✓ Incubators may request detailed business and technical information.

Evaluation Criteria by ISMC

- ✓ Market need for the product/service.
- ✓ Technical feasibility and validation.
- ✓ **Proof of concept** and product development plan.
- ✓ Innovation, uniqueness, IP potential.
- ✓ Commercial viability and business model.
- ✓ Team strength and cohesiveness.
- ✓ **Comprehensive proposal evaluation.**

Disbursement of Funds

Eligible startups receive:

- ✓ Up to ₹20 lakh for prototype/PoC validation/product testing (in **installments**).
- ✓ Up to ₹50 lakh for commercialization (through **convertible debentures or debt instruments**).
- ✓ Funds must be used only for the intended purpose.
- ✓ A **legal agreement** is signed before fund release, defining terms and milestones.
- ✓ **Funds disbursed in tranches**, based on milestone achievements, directly to startup's bank account.

20.9.3 Successful Implementation Indicators

- 1) The following criteria must be met by incubators for all beneficiary startups, and these criteria must be recorded.
 - a) The status of the proof-of-concept phase
 - b) The status of the prototype development phase
 - c) The status of the product development phase
 - d) The status of the field testing phase
 - e) The degree to which the market launch is progressing
 - f) the amount of funding obtained from angel investors, loans, or venture capital
 - g) the number of jobs created by startups
 - h) The Turnover Rate of New Businesses
 - i) Any suitable parameter not mentioned earlier
- 2) Those startups that have been shortlisted must provide the incubator with specifics on the aforementioned criteria in every progress report.
- 3) The same information will be supplied in real time by the incubator to Startup India via their online Dashboards, and it would be presented quarterly to EAC.

★ // ↑ Types of Startup Financing

Debt Financing

- ✓ Involves borrowing money with a commitment to repay with interest.
- ✓ No ownership dilution; lender has no control over the company.
- ✓ May require collateral.
- ✓ Sources: Banks, NBFCs, govt. loan schemes.

Equity Financing

- ✓ Involves selling shares of the company in exchange for capital.
- ✓ No repayment obligation, but involves **ownership dilution**.
- ✓ Investors may influence company decisions.
- ✓ Sources: Angel investors, VCs, crowdfunding, family/friends.

Grants

- ✓ Financial support from organizations (govt./private) to promote innovation or achieve goals.
- ✓ **No repayment** and no return expected by the grantor.
- ✓ Disbursed in stages based on milestone completion.
- ✓ Sources: Central/state govt., corporates, private challenges.



Stages of Startups

Idea Phase

- ✓ Entrepreneur has a **concept** but not yet implemented.
- ✓ Requires **minimal funding**, often sourced from **personal savings** or informal sources.

Common approach: Bootstrapping

- ✓ Using own resources to grow.
- ✓ No repayment obligations.
- ✓ No loss of control or ownership dilution.

Highly preferred by early-stage entrepreneurs due to independence and low financial burden.

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Seed Stage: Companies conduct field trials, build a team, and seek mentors before exploring funding. Incubators support entrepreneurs with resources and services, while government programs like Startup India Seed Fund and SIDBI Fund of Funds offer collateral-free financing. Angel investors and crowdfunding are also options.

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100 CY
Series A Stage: Companies expand their user base and markets. Venture capital funds, managed by professionals, invest in rapid-growth companies, often taking equity and providing mentorship. NBFCs and bank loans are alternatives without equity dilution, and venture debt is another option.

100 CY
100 CY
100 CY
Scaling: Late-stage firms seek larger investments from venture capital. After validation, it's an ideal time to approach these firms for significant funding.

Exit Option: The "exit stage" in a startup's lifecycle refers to the point where the founders and investors sell their ownership stake, often realizing a return on their investment. This typically happens through acquisition by a larger company, an Initial Public Offering (IPO), or in some cases, liquidation.

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20.9.6 Process to Startup Fund Raising

The process of soliciting financial support can be broken down into the following stages:

- i) Determining whether or not money is required
- ii) Assessing the need for funding
- iii) Assessing Investment Readiness
- iv) Preparation of Pitch deck/presentation
- v) Investor Targeting
- vii) Due diligence by Interested Investor
- viii) Term Sheet

The new company needs to design a plan that is based on milestones and includes specific timetables for the things it wants to accomplish in the future years. It is important to make financial estimates over a specific amount of time, taking into account predicted sales data in addition to market and economic variables. It is important to plan not only the cost of production but also the cost of developing prototypes, conducting research, and manufacturing.

20.10 INVESTORS' OUTLOOK IN STARTUPS

The following are the aspects of a startup that investors look for in order of importance to them:

- a) Objective and Problem Solving
- b) Management and Team
- c) Market Landscape
- d) Scalability and Sustainability
- e) Customers and Suppliers
- f) Competitive Analysis
- g) Sales and Marketing
- h) Financial Assessment
- i) Exit Avenues



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UNIT 21

PRIVATE EQUITY AND VENTURE CAPITAL

STRUCTURE

- 21.0 Objectives
- 21.1 Introduction
- 21.2 Characteristics of Venture Capital Investments
- 21.3 Characteristics Shared by Private Equity and Venture Capital, as well as Their Key Distinctions
- 21.4 Financing Options Available Through Venture Capital
- 21.5 The Procedures Involved in Obtaining Venture Capital Funding
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Let Us Sum Up

Venture capital (VC) is a form of private equity funding provided to startups and early-stage companies with high growth potential. It's not a loan; instead, investors (venture capitalists) provide capital in exchange for equity (ownership) in the company. The goal is to support innovation and growth, with the potential for significant returns if the company succeeds.

- ✓ Venture capital is a high-risk, high-reward form of investment.
- ✓ It's a vital source of funding for startups and early-stage companies with significant growth potential.
- ✓ VC firms provide not only capital but also expertise and mentorship to help companies succeed.

8.6.

21.2 CHARACTERISTICS OF VENTURE CAPITAL INVESTMENTS



The following is a list of the most important aspects of a venture capital arrangement, although there are no standard terms and conditions that apply to venture capital companies.

1. Investors in venture capital are typically willing to take on a high level of risk in the hope of achieving a high rate of return on their investment.
2. The venture capitalist not only provides the aided company with funding, but also takes an active interest in leading the company.
3. The venture capitalist will often make a subscription to stock or quasi-equity financing instruments, which gives it the opportunity to partake in both the risk and the profit of the company in which it invests.
4. The financial burden that is placed on the aided company is often minimal in the early years of the partnership.
5. The venture capitalist typically has an exit strategy in place for his or her investment in the business being aided after three to seven years. In most cases, the promoter of the company, that is receiving assistance, has the first option to purchase the equity investment that is being held by the VC.

21.3 CHARACTERISTICS SHARED BY PRIVATE EQUITY AND VENTURE CAPITAL, AS WELL AS THEIR KEY DISTINCTIONS

The following is a list of characteristics that are shared by private equity and venture capital:

1. They are established as autonomous pools of capital, to which contributions may be made by institutions or high-net-worth individuals, and they are managed by managers who have significant financial incentives directly connected to the funds' levels of success.
2. They make investments in businesses that are either unable or not yet prepared to raise funds from members of the general public.
3. There are not many restrictions placed on the activities they engage in.
4. Equipped with carefully drafted investment agreements, they engage in active oversight of the enterprises in which they have invested.

Some distinctions that can be made between private equity and venture capital are as follows:

1. A private equity investment might be used by the investee company to restructure either its finances or its operations.
2. In contrast to venture capitalists, private equity investors typically put their money into established businesses in their later stages of development that have a proven track record.
3. Private equity investors place a greater premium on good corporate governance, whereas various venture capital investors devote more of their attention on management capability.
4. A private equity investment deal may incorporate debt, which is unusual for a venture capital investment deal.

21.4 FINANCING OPTIONS AVAILABLE THROUGH VENTURE CAPITAL

The various forms of venture capital can be categorised according to the stages of a company's development in which they are most useful. The following are the three primary forms of venture capital financing:

1. Financing for the Initial Stages of Development
2. Financing for Expansion
3. Acquisition Financing

The following is a list of the many forms of financing based on the stages of business development:

1. Finance at a low level for the purpose of validating and developing a new idea.
2. Financing for new businesses in their formative stages, when those businesses have financial needs related to product development and marketing.
3. Initial investment, which may include funding for manufacturing and early sales.
4. A second round of financing, often known as an operational capital injection, given to early stage enterprises that are selling items but are not yet generating a profit.
5. The third round of financing, also known as a mezzanine financing, is when a company receives the funding necessary to expand after experiencing recent financial success.
6. The fourth round of funding is sometimes referred to as bridge financing, and it comprises financing for the process of becoming public.

21.5 THE PROCEDURES INVOLVED IN OBTAINING VENTURE CAPITAL FUNDING

In most cases, the financing of venture capital is accomplished through the following six primary steps:

1. The Beginning of a Transaction
2. Screening and shortlisting
3. Detailed Evaluation and rating of proposals
4. The Final Deal Negotiations
5. Post-Investment-Related Activities
6. Exit Plan

The venture capital (VC) process

DEAL ORIGIN

Either the entrepreneur contacts the VC or the VC contacts the entrepreneur for an investment deal.



EVALUATION

The entrepreneurs are asked to present the past and present data and future predictions and the VC firm tries to validate it by consulting partners and industry experts. They also validate team's capacity



SCREENING

VC screens all the proposed investment deals based on several factors like industry, market scope, disruption, size of the investment, geographical location, stage of financing, elevator pitch, etc.

NEGOTIATION

The investment terms and valuation are negotiated. Valuation is of critical importance to both the parties as it decides the stake of the investor in the company.

POST TERM ACTIVITIES

The venture capitalist becomes a part of the company and takes up certain roles and duties. The firm also uses its contacts, partnerships, and experience to help the company grow.



EXIT

The VC sells its stake and exits its company to earn maximum profits or to minimize its losses.



The venture capital (VC) process

Deal Sourcing: This is the initial phase where VC firms actively seek out potential investment opportunities. This can involve attending industry events, leveraging networks, referrals, or direct approaches to startups.

Screening: Once potential deals are identified, they undergo an initial screening process to assess their basic viability and alignment with the VC firm's investment strategy and thesis.

Due Diligence: This is a comprehensive evaluation of the startup, involving a deep dive into its financials, market position, team, technology, and legal standing.

Negotiation: If the due diligence is positive, the VC firm will negotiate the terms of the investment, including valuation, equity stake, and other relevant aspects outlined in the term sheet.

Investment: Once terms are agreed upon, the investment is finalized, and the funds are transferred to the startup.

Post-Investment Management: VC firms actively monitor the performance of their portfolio companies, providing strategic guidance, mentorship, and access to resources to help them grow and succeed.

Exit Strategy: The ultimate goal of VC investment is to generate a return on investment. This is achieved through an exit strategy, which could involve an initial public offering (IPO), acquisition by another company, or other methods.

HW.

21.11 TERMS OF V C FUNDING AND ITS STRUCTURE

Let's look at this by way of an illustration. Rajan is a seasoned financial professional staying in USA for the last 30 years. He believes that there is the opportunity to establish enormous businesses in India. As a result, he intends to establish a fund that will invest in and contribute to the growth of enterprises. Because Rajan doesn't actually have any money, his role as general partner (GP) now requires him to seek funding from limited partners (LPs). Therefore, what are the specifics that need to be laid forth for an LP by him?

21.11.1 Fund Size

What is the total amount that Rajan hopes to garner support for? \$50M or \$500M.

21.11.2 Fund Theme

The topics that Rajan will be concentrating on are as follows:

- A) Which industries will he be investing in (such as healthcare or direct-to-consumer brands, software, for example)?
- B) At what point in the company's development? The Seed, the First Series...
- C) Which regions would those be? (South Asia, India, Southeast Asia...)

21.11.3 Hurdle Rate

This is the minimum annual return, measured as an internal rate of return (IRR), that Rajan is required to guarantee for LPs. If the fund is unable to achieve this rate of return, it is considered to be unsuccessful (and a lot of VC funds fail). Rajan constructs a financial model in Excel in order to compute the anticipated returns and determine the required rate of return. The barrier rate will be affected both by the sectors that are the primary focus and the stage of investment. For example, the Direct-to-Consumer (D2C) industry generates a smaller return than the Software-as-a-Service (SaaS) industry does because of the disparity in their cost structures; yet, the D2C industry will have a lower hurdle rate. It is possible that a fund that focuses on seed-stage deals will have a higher barrier to entry than a fund that invests in series B companies.

21.11.4 Fund Life

At the conclusion of each fund's 7–10 years' lifespan, the capital must be distributed back to the limited partners who invested it. Within the allotted amount of time, Rajan must achieve a rate that is higher than the threshold rate.

- a) During the first two to three years of his work, Rajan focuses on locating and investing in new businesses.
- b) Building those businesses will take the next three to four years.
- c) During the last two to three years, Rajan shall attempt to exercise the "exit" option and

21.11.5 Deal Structure

Even while the LPs are aware that venture capital is a high-risk investment, Rajan still needs to demonstrate what precautions he will take to mitigate the negative effects of the risk. Investing in the startup company in the form of preferred equity rather than common equity is one strategy to accomplish this goal. Preferred equity provides venture capitalists with a higher preference than common stock does for the sale of a company's assets and technology in the event that the startup is forced to shut down, which shall be taken as a setback. Common equity is owned by the startup's founders. Rajan is also able to demonstrate that he will include

1. **Voting rights clauses:** These clauses are needed for significant business decisions such as when to go public or when to sell the company.
2. **Anti-dilution clauses:** In the event that the business secures the subsequent round of funding at a lower value, the number of shares owned by the fund will be changed in such a way that the fund continues to own the same percentage of the startup as it did prior to the round.

21.11.6 Fees

Rajan will charge the limited partners (LPs) a "management fee" equal to around two to three percent of the fund's total value on an annual basis. This fee covers his time and the costs associated with running the fund. Rajan will pay himself, the rent for the office, and the salaries of the analysts and administrative personnel that he will hire out of this sum.

21.11.7 Carry forward:

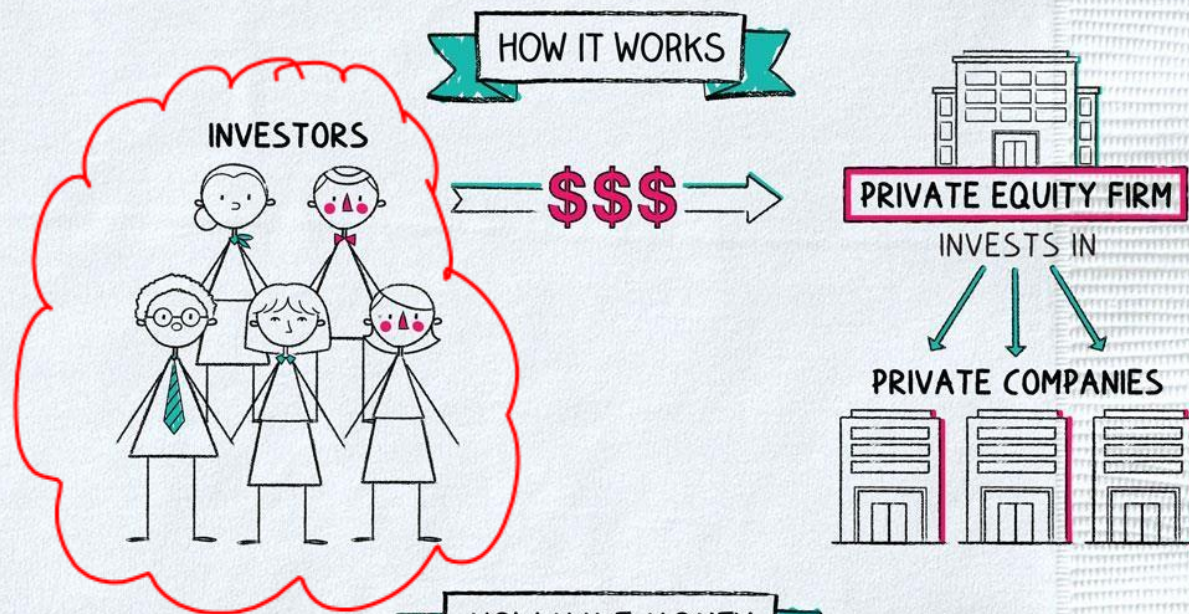
Rajan will receive a bonus, referred to as Carry, based on the performance of the fund in addition to his base compensation, which is referred to as Fee. Generally speaking, limited partners receive between 70 and 80 percent of the fund's profits, while general partners receive between 20 and 30 percent of the fund's profits. This is done to ensure that Rajan is motivated to achieve the highest possible return on his fund. Carry is what will eventually make up a significant amount of Rajan's profits.

It is essential knowledge to have that the typical venture capital business is comprised of a number of distinct funds. There is a possibility that each fund will have a distinct lifetime, focus, and minimum investment requirement. Additionally, it's possible that a separate general partner is administering each fund. When you are browsing the list of portfolio firms on a VC's website, keep in mind that the investments in those companies could have come from a variety of funds, each of which has its own unique objectives.

PRIVATE EQUITY

MONEY INVESTED DIRECTLY IN A PRIVATE COMPANY

HOW IT WORKS



HOW MAKE MONEY



GOOD TO KNOW

NOT POPULAR AMONG INDIVIDUAL INVESTORS BECAUSE:

HIGH MINIMUMS
\$25+ MLN

LONG COMMITMENTS
10+ YEARS

Napkin Finance

PRIVATE EQUITY STRUCTURE

Private Equity Firm
(General Partner)

Limited Partners
(Investors)

Private Equity Fund
(Limited Partnership)

Public Pension
Funds

Corporate
Pension Funds

Insurance
Companies

High Net Worth
Individuals

Family Offices

Endowments

Foundations

Fund-of-funds

Sovereign
Wealth Funds



- ✓ **Private equity (PE)** refers to capital investments made in companies that are not publicly traded.
- ✓ Most PE firms are open to accredited investors or high-net-worth individuals, and successful PE managers can earn over a million dollars a year.
- ✓ When a PE firm takes control of another company, it may seek to profit by selling the target company's assets or merging it with another company.
- ✓ Leveraged buyouts (LBOs) and venture capital (VC) investments are two key areas of PE investment.

21.16 BENEFITS OBTAINED THROUGH PRIVATE EQUITY

Companies and startups can benefit in a number of ways from private equity investments. Companies favour it because it gives them access to cash as an alternative to conventional financial processes like bank loans with high interest rates or listing on public markets. This makes it an attractive choice for businesses. Venture capital is one type of private equity that is used to finance businesses in their early stages, in addition to financing ideas. In the event of businesses that have been delisted from public markets, private equity financing may be able to assist these businesses in pursuing unconventional methods of business expansion out of the public eye. If not, the pressure of quarterly profitability will significantly restrict the time frame that senior management has available to try to turn a firm around or experiment with new ways to cut losses or make money.

21.17 DRAWBACKS TO THE PRACTICE OF PRIVATE EQUITY

Private equity has distinct challenges. To begin with, it may be challenging to liquidate holdings in private equity since, in contrast to public markets, there is no ready-made order book that brings together buyers and sellers. This might make it difficult to find a buyer or a seller. In order to complete the sale of an investment or a company owned by the business, the company must first conduct a search for a buyer. Second, the price of a company's shares in private equity transactions is not established by the forces of the market but rather through talks between potential buyers and sellers, in contrast to the situation that typically exists for publicly traded companies. Third, the rights of shareholders in private equity are typically decided on a case-by-case basis through negotiation rather than being determined by a broad governance framework, as is the case with their counterparts in public markets. This is in contrast to how rights are typically determined in public markets.

The Legal and Administrative Structure of India: Private equity funds in India are organized as trusts or registered with SEBI under the Alternative Investment Funds (AIF) Regulations, 2012, and can also be companies or limited liability partnerships (LLP).

SEBI (AIF) Regulations, 2012: Introduced to enhance market stability and accountability, these regulations replaced the 1996 Venture Capital Funds Regulations, effective May 21, 2012. AIFs pool funds from sophisticated investors for defined investment policies, excluding mutual funds and other regulated schemes.

Categories of AIFs:

Category I AIFs: Invest in start-ups, early-stage ventures, SMEs, social ventures, and infrastructure, including venture capital, SME, social venture, and infrastructure funds.

Category II AIFs: Non-leveraged funds not in Categories I or III, such as real estate or private equity funds, registered as Category II AIFs.

Category III AIFs: Employ diverse strategies and leverage, including derivatives, with funds like hedge funds and PIPE Funds registered here.



Angel Fund: A sub-category of Venture Capital Funds under Category I AIF, raising funds from angel investors and investing per Chapter III-A of AIF Regulations. Funds are raised only via unit issuance to angel investors, defined as individuals with net tangible assets of at least 2 crore rupees or specific investment/entrepreneurial experience, or corporate bodies worth at least 10 crore rupees.

AIFs registered under these or SEBI (Venture Capital Funds) Regulations, 1996, accept investments from Rs. 25 lakh to a maximum of 3 years per investor.

SEBI (AIF) Regulations, 2012: Established to standardize governance of private investment pools, enhancing fund distribution efficiency. A "Private Equity Fund" invests primarily in equity or partnership interests of investee companies.



SEBI Updates: Issues circulars to improve transparency and governance standards, amending regulations as needed, covering operational/prudential requirements, disclosure/reporting guidelines, overseas investment norms, limits on overseas investments by Venture Capital Funds, guidelines for large value funds, and compliance management.

21.25 CRUCIAL STAGES IN THE PROCESS OF INVESTING IN PRIVATE EQUITY

In India, private equity investments are frequently made in privately held businesses that are not listed on any stock exchange. Investing in publicly traded companies is not recommended for a number of reasons, including a dearth of high-quality assets and stringent requirements for delisting. Private equity transactions include seed capital, Angel investments, venture capital, growth capital, and late stage investments such as private investment in public equity, buyouts, and turn around capital. Early stage investments include venture capital, growth capital, and growth stage investments include seed capital.

Previously, early stage investments were classified as venture capital investments; however, this pattern has been shifting for the past few years as a result of the competitive deal sizes and valuations. Even while the transactions almost always take place in a fashion that is analogous to one another, the detailed processes may be different for various investment firms. The following is a rundown of the steps that are often included in transactions with private equity:

1. Teaser sent by investment bankers

A document known as an investment teaser is one that offers a condensed overview of the investment opportunity to a potential strategic partner or investor. Pieces are often prepared without the name of the vendor being revealed at any point. In the beginning stages of a private equity deal, one of the first phases is the creation and distribution of a teaser.

2. Non-disclosure agreement (NDA)

It is required for all interested parties to sign a non-disclosure agreement once they have seen the teaser. This precludes any unauthorised use of confidential information, such as that which might be used to solicit clients or poach staff, among other things.

3. Memorandum Regarding Confidential Information

Following the signing of a non-disclosure agreement (NDA), the bankers gave the possible purchaser access to the private information memorandum. All of the information pertaining to the company, including the investment thesis, a summary of the company, staff profiles, a revenue profile, and financials, are included in the Confidential Information Memorandum. The goal is to provide the potential acquirer with every pertinent piece of information so that they may determine whether or not to proceed with the acquisition of the company.

4. Valuations

A valuation of the firm being sold is carried out by the company that has bought it, using the financial data and projections. This stage is extremely important because the private equity firm bases its valuation on projections and financials of this kind.

5. Expression of interest

The official offer that a private equity company or potential buyer makes to the seller is known as an expression of interest. The acquired party indicates that it is interested in acquiring the company for a specified price, as the name of the action suggests. However, the essence of such an offer is that it is not binding in any way.

6. Permitting Access to Data

After the bankers have determined that the bid is acceptable, the prospective purchasers will be granted access to the data. At this point in time, all the data is accessible virtually. Giving the acquirer such access is done with the intention of ensuring that the acquirer carries out the necessary levels of due diligence and validates the facts and data.

7. Management meetings

The next step in a deal involving private equity is a meeting of the senior management team that takes place in person. The upper levels of management from both the company that is selling the business and the company that is purchasing it get together to talk about the potential benefits of working together.

8. Formal notice of intent

A letter of intent is exchanged between the party being acquired and the party being sold the shares before the share purchase agreement is submitted to the seller. This letter of intent outlines the broad conditions of the acquisition so that the buyer can evaluate the seller's representations and warranties.

9. Contract for the purchase of shares

A document known as a share purchase or asset purchase agreement is one that outlines the specific terms and circumstances of the agreement that the companies have entered into for a private equity transaction, joint venture, or other similar business endeavour. The nature of this agreement makes it binding. Investment bankers play a significant role in ensuring that the parties come to an agreement with one another and that the transaction is successfully completed.

UNIT 22

ARTIFICIAL INTELLIGENCE

STRUCTURE

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- 22.1 Introduction
- 22.2 History of Artificial Intelligence
- 22.3 Applicability of Artificial Intelligence
- 22.4 Contribution of Google
- 22.5 Artificial Intelligence in Banking and Finance
- 22.6 The Future Scope of Artificial Intelligence
- 22.7 Neural Networks
- 22.8 Control Theory and Cybernetics
- 22.9 Rational Agents
- 22.10 Motion and Manipulation
- 22.11 Tools & Techniques of Artificial Intelligence
- 22.12 Artificial Intelligence and Morality

Let Us Sum Up



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- ✓ AI-based systems boost productivity, reduce costs, and enable data-driven decisions unavailable to humans.
- ✓ AI algorithms detect fraud and identify anomalies easily.
- ✓ AI implementation has made the banking sector more tech-
focused and consumer-oriented.

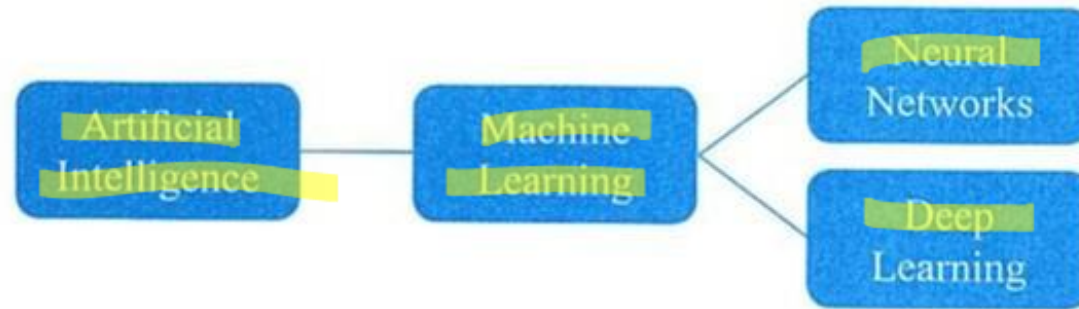
The term “artificial intelligence” (AI) refers to the replication of human intelligence in computers that have been trained to think like people and emulate the activities that humans engage in.

The phrase “artificial intelligence” can also be used to refer to any type of computer that simulates mental processes common to humans, such as learning and problem-solving.

The concept of artificial intelligence can be conceptualised as a computer-controlled robot designed to look and behave just like a human person.

The application of artificial intelligence is widespread throughout a variety of industries, including the banking processes, medical healthcare, institutes, surveillances, and the act of social media.

The most exciting aspect of artificial intelligence is the prospect of new research leading to the creation of computer programmes that think with minds that are as fully functional as those of humans.



The technique of making machines that are capable of performing tasks that previously required intelligence and were either carried out by humans or by other machines when necessary.

The creation of an artificial brain and its subsequent transfer to a computer in order for it to carry out tasks in a manner analogous to those carried out by a human, constitutes the entirety of artificial intelligence.

In its most basic form, artificial intelligence is a process in which computer vision is used to conceptualise objects and the ROBOTICS process is used to control the objects and move them around.

AI use in banking:

- ✓ **Customer service/engagement (Chatbots):** Offer high ROI through cost savings, handle tasks like account management, fund transfers, and reduce strain on call centers and internet banking.
- ✓ **Robo Advice:** Provides automated financial guidance, analyzes client history, and offers tailored investment recommendations based on client goals.
- ✓ **Predictive Analytics with General Purpose Focus:** Uses semantic and natural language applications to identify patterns and predict sales or operational improvements, impacting company income.
- ✓ **Cybersecurity:** Enhances security by learning from past threats and detecting initial signs of issues.

22.6.1 A Look at the Future

- a) **Transportation:** An autonomous car will one day ferry us from one place to another place, although it could take a decade or more to perfect.
- b) **Manufacturing:** To perform a limited range of tasks easily like assembly & stacking and predictive analysis sensors keep equipment running smoothly, AI powered ROBOTS work alongside humans.
- c) **Education:** The early stage virtual tutors would assist human instructors & facial analysis gauges the emotions of the students to help to determine who's bored & struggling and for better tailor the experience to their individual needs after the textbooks are digitized with the help of the AI.
- d) **Customer Services:** The system would understand the context and the nuance, in addition to words, as AI assistant that can placed human works like to attend your call, book your appointments, etc.



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UNIT 23

BUSINESS ANALYTICS AS MANAGEMENT TOOL

STRUCTURE

- 23.0 Objectives
- 23.1 Introduction
- 23.2 Essentials of Business Analytics
- 23.3 Types of Analytics
- 23.4 Elements of Business Analytics
- 23.5 Excel Proficiency
- 23.6 **Big Data Analytics**
- 23.7 Web and Mobile Analytics
- 23.8 Comparing Web Vs Mobile Analytics
- 23.9 Importance of Business Analytics

Let Us Sum Up

Essentials of Business Analytics (BA): BA is widely used in commercial enterprises for various applications, primarily to enhance productivity.

Business Analytics as Management Tool:

- a) Analyzes data from diverse sources like cloud apps and CRM software.
- b) Identifies patterns using complex analytics and statistics to predict consumer behavior and provide new insights.
- c) Monitors key performance indicators (KPIs) and trends in real-time, simplifying data storage and enabling quick conclusions.
- d) Supports decisions with the latest data, ensuring well-informed choices across multiple scenarios.

Approach: BA applications are phased, starting with basic methods, with no single strategy deemed more significant; effectiveness depends on the final aim.



Types of Analytics: Four primary analytics approaches are applied sequentially to simplify data and address organizational challenges.

- ✓ **Descriptive Analytics:** Interprets historical data and key performance indicators using data aggregation and mining to understand past and present events, helping businesses gain insights into customer actions and marketing strategies.
- ✓ **Diagnostic Analytics:** Analyzes past performance to identify factors driving trends through drill-down, data discovery, mining, and correlation, using classification and regression algorithms.
- ✓ **Predictive Analytics:** Uses statistics and machine learning to forecast future outcomes, constructing models to predict likelihoods, often employed by sales and marketing teams using social media data.
- ✓ **Prescriptive Analytics:** Leverages past performance data to recommend future management strategies, utilizing deep learning and neural networks, with solutions tailored to customer needs based on current operational context.

23.4 ELEMENTS OF BUSINESS ANALYTICS

When one takes a more in-depth look at business analytics, the method of business analytics that we choose to use is going to be contingent on the end-goal that we establish for ourselves before beginning the process. No matter the approach a person decides to take, they will undoubtedly be rewarded at the end with insights that can be put into practice.

The various elements of business analytics are as follows:

1. Data Mining
2. Text Mining
3. Data Aggregation
4. Forecasting
5. Data Visualisation



23.4.1.1 Data Mining Process: How does it Work?

Data mining is often carried out by data scientists in addition to other qualified experts in the business intelligence and analytics fields. However, it is also possible for it to be carried out by data-savvy business analysts, executives, and employees who work within an organisation and operate as citizen data scientists.

Machine learning and statistical analysis are two of its fundamental components, coupled with data management operations that are carried out in order to get the data ready for analysis. Mining massive data sets, such as customer databases, transaction records, and log files from web servers, mobile apps, and sensors, has become significantly simpler thanks to the implementation of machine learning algorithms and other artificial intelligence (AI) tools. This has resulted in a greater degree of process automation.

The process of data mining can be split down into four basic steps, which are as follows:

1. Data collection:

It is determined which data are pertinent for an analytics application, and then they are compiled. The data could be stored in a variety of source systems, a data warehouse, or a data lake, the latter of which is becoming an increasingly typical repository in big data contexts and is comprised of a combination of structured and unstructured data. There is also the possibility of utilising data from external sources. In order to continue with the process after the data has been collected from its original location, a data scientist will frequently relocate it to a data lake.

2. Data preparation:

During this stage, a series of actions are carried out to get the data prepared for the mining stage. It begins with the exploration, profiling, and pre-processing of data, and then moves on to the job of data cleansing to correct errors and other issues related to the data's quality. It is also necessary to convert data in order to keep data sets consistent. This is the case unless a data scientist intends to do an analysis on raw, unfiltered data for a specific application.

3. The Data Mining Process:

After the data has been prepared, a data scientist will select the proper data mining technique, at which point they will apply one or more algorithms in order to mine the data. Before being applied to the whole set of data, the algorithms that are used in machine learning applications often need to be trained on smaller sample data sets to search for the information that is being sought after.

4. The interpretation and analysis of the data:

The findings from data mining are incorporated into analytical models, which are then utilised to guide decision-making and other aspects of business operations. It is the responsibility of the data scientist or another member of the data science team to explain the findings to business executives and users. This is typically accomplished through the use of data visualisation and methodologies that are based on data storytelling.

23.4.2 Text Mining

Text mining, also known as text data mining, is the process of converting unstructured text into a structured format in order to find relevant patterns and fresh insights. Companies are able to investigate and identify hidden links within their unstructured data when they employ advanced analytical approaches such as Naive Bayes, Support Vector Machines (SVM), and other deep learning algorithms.

Within databases, text is one of the types of data that is used the most frequently. This information might be arranged in the following ways, depending on the database:

a) Structured data:

This data has been standardised into a tabular format, which consists of several rows and columns. This makes it much simpler to store and handle for the purposes of analysis and machine learning algorithms. Inputs like names, addresses, and phone numbers are all examples of the kinds of things that can be included in structured data.

b) Unstructured data:

This data does not adhere to any particular data format that has been standardised. Text from various sources, such as social media or product reviews, as well as rich media formats, such as video and audio files, may be included in this section.

c) Semi-structured data:

This information is a combination of structured and unstructured data forms, as the name of the data set suggests. Although it is organised to some degree, it does not possess the necessary level of structure to fulfil the prerequisites of a relational database. Files written in XML, JSON, and HTML are all examples of types of data that are considered semi-structured.

and "California" as the name of a place in the world.

23.4.3 Data Aggregation

The process of collecting raw data and presenting it in a summary format for the purposes of statistical analysis is referred to as data aggregation.

For instance, raw data can be aggregated over a specified amount of time to provide statistics like the average, the lowest, the maximum, the sum, and the count. Following the aggregation of the data and its subsequent writing to a view or report, you will be able to perform an analysis on the aggregated data in order to get insights on specific resources or resource groupings. There are two different approaches to accumulating data:

Time aggregation

Every single data point that pertains to a single resource over a particular time period.

Spatial aggregation

Every single data point for a collection of resources over a predetermined amount of time.

23.4.4 Forecasting

The process of making predictions about what will occur in the future by taking into account what has happened in the past and what is happening in the present is referred to as forecasting. In its most fundamental form, it is a decision-making tool that examines previous data and patterns with the goal of assisting organisations in dealing with the impact of the unpredictability of the future. It is a tool for planning that gives companies the ability to map out their next steps and set budgets that will ideally cover any unpredictability the future may bring.

23.4.4.1 Forecasting Methods

When companies wish to make educated guesses about what might take place in the future, they have the option of choosing between two fundamental approaches: qualitative and quantitative approaches.

1. Qualitative Research Approach

The qualitative approach of forecasting, which is sometimes referred to as the judging method, generates subjective findings because it is based on the personal judgements of experts or forecasters. Because the process of creating forecasts is not based on mathematics but rather on the knowledge,

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intuition, and experience of the experts making them, there is a high likelihood that the forecasts will contain errors.

One illustration of this would be if a person were to predict the outcome of a finals game in the NBA, which, of course, would be influenced more by their own personal drive and interest. The possibility of error is one of the shortcomings of using such a strategy.

2. Quantitative Technique

The quantitative technique of predicting is based on a mathematical procedure, which gives it the qualities of being consistent and objective. It avoids based the results on opinion and intuition, opting instead to use enormous volumes of data and statistics that are then interpreted, as opposed to basing the results on opinion and intuition.

23.4.4.2 Features of Forecasting

The following is a list of some of the characteristics of creating a forecast:

1. Involves future events

Because they are used to make predictions about the future, forecasts are an essential part of the planning process.

2. Covers recent and historical occurrences

Opinions, intuition, and educated estimates, in addition to facts, numbers, and other pertinent data, are the foundations around which forecasts are constructed. All of the components that go into the formation of a prediction are, to some extent, a reflection of what has occurred with the company in the past as well as what is anticipated to take place in the foreseeable future.

3. Uses various techniques of forecasting

The quantitative methods are utilised by the majority of firms, notably in the processes of planning and budgeting.



Big Data Analytics: Involves advanced analytical methods on large, diverse, semi-structured, or unstructured data sets ranging from terabytes to zettabytes. Big data, characterized by high volume, velocity, diversity, or complexity, often involves AI, mobile, and social platforms, and is processed in real-time using sensors, devices, and networks.

Uses of Big Data Analytics:

- a) Enhances customer integration by analyzing structured, semi-structured, and unstructured data from various touchpoints to improve personalized marketing.
- b) Monitors transactions to detect and prevent fraud by identifying unusual patterns using predictive and prescriptive analytics.
- c) Improves supply chain efficiency by analyzing data to optimize item delivery and reduce costs using sensors, logs, and transactional data.

Industries Using Big Data Analytics: Manufacturing, Retail, Health Care, Oil & Gas.

23.6.5 Challenges of Big Data

Enormous data delivers big benefits, but it also introduces big issues, such as new privacy and security concerns, accessibility for business users, and the need to choose the correct solutions for your company's requirements. In order for enterprises to make the most of incoming data, they will need to handle the following issues:

- **Making big data accessible.** When there is a greater volume of data, it is significantly more challenging to collect and process the data. It is imperative that organisations make the usage of data simple and accessible to individuals with varying degrees of expertise.
- **Maintaining data quality.** Due to the large amount of data that needs to be maintained, businesses are devoting more time than they ever have before to the process of checking for mistakes, inconsistencies, conflicts, and duplication.
- **Data Security.** Privacy and safety are becoming ever more of a worry as more and more data is collected. Before organisations can begin to reap the benefits of big data, they will need to first work toward compliance and establish data processes that are particularly stringent.
- **Identifying appropriate tools and platforms.** Continuous innovation takes place in the field of developing technologies that can process and analyse large amounts of data. In order to meet their specific requirements, organisations have to locate suitable technological solutions that are compatible with the ecosystems they have already developed. The optimal solution is frequently one that is also flexible and able to adapt to alterations in the underlying infrastructure at a later point.



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UNIT 24

GREEN AND SUSTAINABLE FINANCING

STRUCTURE

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Let Us Sum Up

Around the world, regulators, national authorities, and supranational organisations have begun to pay attention to climate risk and sustainable finance. The report, that was put out by the Intergovernmental Panel on Climate Change (IPCC) in August 2021, underlined the changes that have been noticed in the climate of the Earth in every region and throughout the whole climate system. According to the findings of the report, emissions of greenhouse gases from human activities are responsible for approximately 1.1 degrees Celsius worth of warming that has occurred between the years 1850 and 1900. The report also finds that the global temperature is expected to reach or exceed 1.5 degrees Celsius warming, over the next 20 years, on average. Consequently, during the Conference of the Parties (COP26) Summit, which took place in Glasgow, United Kingdom, in November 2021, a number of governments pledged to take extensive climate action. Therefore, the focus that has been placed on climate change has increased as a result of the recent IPCC Report and the COP26 Summit. The 27th Conference of the Parties to the United Nations Framework Convention on Climate Change – COP27 – builds on the outcomes of COP26 to deliver action on an array of issues critical to tackling the climate emergency – from urgently reducing greenhouse gas emissions, building resilience, and adapting to the inevitable impacts of climate change, to delivering on the commitments to finance climate action in developing countries. Faced with a growing energy crisis, record greenhouse gas concentrations, and increasing extreme weather events, COP27 seeks renewed solidarity between countries, to deliver on the landmark Paris Agreement, for people and the planet.

One of the many phrases, that are used to represent activities that are connected to the two-way interaction between the environment and finance and investment, is “green finance”. Over the course of the past decade, it has developed into a common phrase, in part as a result of the proliferation of national green investment banks and the fast expanding green bond market. However, green finance is strongly connected to other concepts, such as climate finance and sustainable finance, which are related in some way. The United Nations Environment Programme provides the following helpful explanations of what each term refers to in the following order:

1. A sustainable financial system takes into account the environment, society, and government in addition to the economy.
2. Green finance does not take into account social or economic factors, but it does incorporate climate finance.
3. The term “climate finance” refers to a subset of “green” or “environmental” financing.



ISO Standards for Green Finance: Investors are increasingly drawn to sustainable sectors like renewable energy and green building due to financial returns and ethical/environmental benefits, leading to a demand for standardized green investing practices.

ISO Role: The International Organization for Standardization (ISO) is developing standards to **organize and enhance** credibility in green and sustainable finance, addressing the **jumbled proprietary standards** through three technical committees: **ISO/TC 207 (Environmental management)**, **ISO/TC 322 (Sustainable finance)**, and **ISO/TC 309 (Governance of organizations)**.

ISO Standards:

- ✓ **ISO 32210:** Framework for **Sustainable Finance**
- ✓ **ISO 14007:** **Environmental costs** and Benefits
- ✓ **ISO 14008:** **Monetary valuation** of environmental impacts
- ✓ **ISO 14097:** **Assessing and reporting investments** related to climate change

It is of the utmost importance to move at a faster pace toward a global economy that is more sustainable in order to achieve the targets set for climate change and to bring activities into alignment with sustainable development goals. Without making significant adjustments in the financial industry, it will not be possible to meet these objectives. This unprecedented change ushers in a new era for organisations, one that is fraught with both risk and opportunity.

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ISO 32210 “Sustainable finance: Principles and guidance” outlines a set of guiding principles and practices that are intended to assist financial institutions in enabling positive environmental and social outcomes, mitigating risk, and delivering sustainable value. The objective of the standard is to provide assistance to organisations in:

- A) Activities geared toward contributing to long-term sustainability goals are being transitioned.
- B) Creating value by seizing the new investment opportunities afforded by the ongoing transition in the global economy.
- C) Improving investment portfolios’ ability to generate long-term financial returns while also minimising their impact on the environment
- D) Identifying and mitigating risk,
- E) Aligning the interests being pursued with the expectations of the stakeholders. Examples of ESG criteria include:

Environmental (E) – climate change, natural resource depletion and environmental degradation (including land use change, habitat loss and species loss).

Social (S) – working conditions (including slavery and child labour), local communities, conflict, health and safety, employee relations and diversity.

Governance (G) – executive pay, bribery and corruption, political lobbying and donations, board diversity and structure, and tax strategy.

ISO 32210 Sustainable Finance: Principles and Guidance document is intended to be utilised by organisations regardless of the level of expertise or capacity they possess in this area. Organizations can get started by addressing key elements of the principles, beginning with “Governance and culture” and “Strategy alignment and objectives” initially, and then working their way through the other Principles in a concentrically inwards direction, making note of the periodic key reporting and output under “Reporting and transparency.” Initially, organisations should focus on “Governance and culture” and “Strategy alignment and objectives.”

The standard can then be used by organisations to improve their performance in terms of sustainability and the outcomes they achieve by utilising the concept of Continual Performance Improvement and Enhancing Ambition. It is important for the organisation to take into account not only its internal operational performance but also all of its activities, products, and services.

ISO 32210 Sustainable finance: Principles and Guidance, was written for organisations to use regardless of their level of expertise or capacity to implement sustainable finance. Organizations can get started by addressing key elements of the principles, beginning with “Governance and culture” and “Strategy alignment and objectives” initially, and then working their way through the other Principles in a concentrically inwards direction, making note of the periodic key reporting and output under “Reporting and transparency.”

The concept of Continual Performance Improvement and Enhancing Ambition can be used by organisations to improve their sustainability performance and outcomes, and those organisations can then use the standard. The organisation needs to take into account not only the performance of its internal operations but also all of its activities, products, and services.

24.2.2 ISO 14008

An organization’s interactions with the environment are referred to as its environmental aspects, while these interactions’ effects are referred to as its environmental impacts. A favourable or negative influence is possible. The projects backed by green finance and the businesses involved in these processes each have aspects and repercussions that are present across the whole finance cycle. In order to comprehend and then manage the risks and opportunities connected with them in a cost-effective manner, it is crucial to establish the monetary value. The first globally accepted reference for determining the economic value of an organization’s environmental impacts and aspects is ISO 14008, Monetary valuation of environmental impacts and related environmental aspects. It utilises a coordinated collection of technologies to combine economic studies with environmental management in a standardised manner. To make its information more accessible to users rapidly, the standard, created by ISO/TC 207, employs the vocabulary of ISO 14001 on environmental management systems. Why then do we require ISO 14008? Simply said, in order to evaluate risks and possibilities, firms must be aware of all costs and externalities. The standard also aids in the formulation of policies like green taxes, compensation schemes, and subsidies that take into account the present or potential cost of environmental harm. Additionally, it offers a crucial tool for the expanding fields of disclosure and reporting today.

24.2.3 ISO 14007

Additional guidance for calculating environmental costs and benefits is provided by ISO 14007, Environmental management. ISO 14007 offers instructions on how to use those values for cost and benefit analyses after organisations have determined monetary values for environmental consequences. The concept of dependencies, or how organisations depend on the environment, is also explained in this standard. The commercial case for evaluating an organization’s reliance on “natural capital” is becoming more compelling due to increasing resource scarcity and deteriorating ecosystem services. Companies will choose greener investments and build more sustainable enterprises when they recognise the obvious environmental advantages of the natural capital they rely on.

24.2.4 ISO 14097

Risks and opportunities brought about by climate change can have an impact on the performance of financial institutions and the businesses they invest in. In light of this, a fresh framework for assessing how climate change may affect funding and investment has just been created. Organizations reporting in accordance with the suggestions of the Task Force for Climate-related Financial Disclosures will benefit greatly from ISO 14097, Greenhouse gas management and related activities - Framework including principles and requirements for assessing and reporting investments and financing activities related to climate change. The standard accomplishes three goals.

1. Aid finance managers and investors in identifying opportunities and dangers associated to climate change.
2. Provide the information and data required to make defensible decisions to reduce or eliminate climate-related risks and to seize opportunities.
3. Facilitate the shift to a low-carbon economy with fewer risks to the climate and spur more investment in the prospects.

Green Bonds: Green bonds are debt instruments funding green projects, issued by entities like governments or corporations, with proceeds used for environmentally beneficial activities. They resemble traditional bonds but ensure funds are allocated to green initiatives, supported by standards like the Green Bond Principles.

Types of Green Bonds:

- a) Organization-guaranteed Bonds:** Issued by an entity guaranteeing repayment, with proceeds funding green projects, often requiring certification.
- b) Asset Backed Bonds:** Secured by specific assets, where repayment depends on asset performance; includes sub-types like project bonds and revenue bonds.
- c) Hybrid Bonds:** Combine dual-recourse and asset-backed features, offering flexibility in repayment structures.

Key Features: Green bonds involve certification, monitoring, and reporting to ensure funds support verified green projects, with various global standards aiding their credibility and adoption.

Benefits of Green Investment: Green bonds provide significant advantages for environmentally responsible projects, benefiting investors, issuers, and the environment.

a) Providing an additional source of financing for environmentally friendly projects:

Green bonds fund projects like renewable energy, offering a new financial avenue alongside traditional bonds, with proceeds tracked to ensure green use.

b) Making it possible to finance more environmentally friendly projects over the long term by reducing the maturity mismatch: Green bonds align long-term environmental goals with funding, reducing maturity gaps and supporting sustained eco-projects.

c) Improving the issuer's reputation and providing more transparency regarding environmental strategy: Issuers gain credibility through certified green bonds, enhancing transparency and investor trust via detailed reporting and standards.

d) Benefits to investors: Green bonds offer financial returns, tax incentives, and portfolio diversification, with potential carbon credit benefits, making them attractive to socially responsible investors and supporting long-term environmental goals.

24.3.1.4 Advantages and Disadvantages of investing and issuing Green Bonds

The advantages of investing in green bonds are as under:

- a) Investors can balance financial and environmental returns
- b) Meets ESG/green investing requirements
- c) Improved risk assessment in an opaque fixed income market through proceeds reporting
- d) Potential use of pure-play, project, and ABS to actively hedge against climate policy risks in a portfolio with emissions-intensive assets
- e) Recognized by UNFCCC as non-state actor “climate action”
- f) Private interaction with issuers on ESG topics relevant to green bond issuance results in more thorough credit profiles of borrowers.
- g) Added openness of proceeds use and reporting requirements gives green bond investors an informational edge (on spending efficiency, project specifics and updates, impact performance).
- h) Tracking and reporting proceeds utilisation improves internal governance and the issuer’s credit quality.

The disadvantages of investments in green bonds are:

- a) A market that is still in its infancy and is quite small, with bond amounts that are relatively low.
- b) The absence of universal criteria can increase the potential for confusion, as well as the damage to one’s reputation if the green integrity of a bond is called into question.
- c) There is a restricted amount of room for the legal enforcement of green integrity
- d) A lack of uniformity can result in research that is more difficult to understand and a requirement for further due diligence that is not always met.

Definition of “Green”

The SEBI Circular defines the term “Green” or “Green Debt Securities” in the following manner:

A Debt Security shall be considered as “Green” or “Green Debt Securities”, if the funds raised through issuance of the debt securities are to be utilised for project(s) and/or asset(s) falling under any of the following broad categories:

1. Renewable and sustainable energy including wind, solar, bioenergy, other sources of energy which use clean technology etc.
2. Clean transportation including mass/public transportation etc.
3. Sustainable water management including clean and/or drinking water, water recycling etc.
4. Climate change adaptation
5. Energy efficiency including efficient and green buildings etc.
6. Sustainable waste management including recycling, waste to energy, efficient disposal of wastage etc.
7. Sustainable land use including sustainable forestry and agriculture, afforestation etc.
8. Biodiversity conservation
9. Any other category as may be specified by SEBI, from time to time.

Internationally, for all issuance of Green Bonds or Climate Bonds, an independent reviewer/ certifier has to be appointed mandatorily who certifies whether the targeted project assets qualify to be eligible assets or not. However, as per the SEBI Circular for any issuance of Green Debt Securities in India, the issuer may use its discretion to appoint an independent reviewer/ certifier and it is not a mandatory requirement.

Disclosure requirements

In order to issue Green Debt Securities, the provisions of SEBI (Issue and Listing of Debt Securities - ILDS) Regulations, 2008 are to be complied with.

Therefore, the disclosure requirements provided therein in ILDS Regulations have to be adhered to. Additionally, the following details also have to be disclosed in the offer document:

1. A statement on environmental objectives of the issue of Green Debt Securities;
2. Brief details of decision-making process that the issuer has followed/would follow for determining the eligibility of project(s) and/or asset(s), for which the proceeds are been raised through issuance of Green Debt Securities. Indicative details to be provided is as under:
 - a. Process followed/ to be followed for determining how the project(s) and/or asset(s) fit within the eligible green projects;
 - b. The criteria, making the project(s) and/or asset(s) eligible for using the Green Debt Securities proceeds; and
 - c. Environmental sustainability objectives of the proposed green investment.
3. Details of the system/procedures to be employed for tracking the deployment of the proceeds of the issue.

With the guidelines released, it was seen as an incredible step forward to provide policy directions to the industry. The following deductions can be made after carefully analysing the recommendations that were supplied by the regulator:

- 1. The SEBI Guidelines are in accordance with the three most fundamental global principles -**
The Green Bond Principle, the Social Bond Principle, and the Sustainable Bond Principle all have to do with environmental and social responsibility. For this reason, it is absolutely necessary to build a domestic framework that enhances the rules that are offered by SEBI.
- 2. The SEBI criteria don't apply to every project, including "green" ones, and here's why:**
It is vital that the specified projects for which the bond is funded be 'overwhelmingly green' when investors come to a 'decision for certainty' regarding the raising of finance for green bonds. This is because green bonds are a kind of alternative financing. The majority of the time, fundraising efforts for initiatives dealing with forestry, clean water, and the adaptation to climate change are unsuccessful here.
- 3. Not all kinds of environmentally friendly projects may be directly compared to one another:**
For example, the impact on emissions per unit of investment that results from the establishment of renewable energy projects is not the same as that which results from the utilisation of low-carbon public transportation, despite the fact that both may result in an influence on the environment. As a result, some weightages along the various categories stated by SEBI will be required in order to provide evidence of their impact to investors who are interested in the topic. This would help guide the investors in the direction of the impact category that they have picked.
- 4. Some industries are quite complicated:**
Because some of the businesses covered by the SEBI guidelines are very complicated, possessing a solid foundation of environmental understanding is absolutely necessary in order to model the effect that green bonds would have on the climate in relation to the aforementioned fields of business.
- 5. It is essential to have a good understanding of climate risk and the life cycle:**
It is not enough to simply report on a building's emissions for there to be complete transparency on its green standards; one must also take into consideration urban planning, which includes the kind of materials used and how resilient they are to natural disasters and extreme weather. A simple yes/no checkbox does not convey any information about the long-term viability of initiatives, nor does it take into consideration the varying degrees of danger that each nation faces.
- 6. The absence of a local context:**
Although there are many benefits to having global verification and assessment procedures, it is possible to develop a global standard for evaluation, despite the fact that it does not take into account differences across countries. There is concern among some stakeholders that, in light of the fact that India has requirements that are distinct from those of other countries, a certification standard should be adapted to the conditions of the Indian context rather than international standards. In this context it will be useful to benchmark an India-specific green rating framework against international standards (perhaps those provided by Sustainalytics and CICERO) will help provide the international investors with needed transparency and confidence to invest in Indian green bonds.

BRSR is a questionnaire-based reporting that is divided into 3 sections as follows:

Section A: General Disclosures

This section contains details of the listed entity; products/services; operations; employees; holding, subsidiary and associate companies (including joint ventures); CSR; transparency and disclosure compliances.

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Section B: Management and Process Disclosures

This section contains questions related to policy and management processes, governance, leadership and oversight.

Section C: Principle-Wise Performance Disclosures

Companies are required to report upon KPIs in alignment with the nine principles of the National Guidelines on Responsible Business Conduct (NGRBC). The section classifies KPIs into two sub-categories that companies are required to report upon, viz.,

- Essential Indicators (Mandatory), and
- Leadership Indicators (Voluntary).

While SEBI introduced the requirement of BRSR vide its May 2021 circular, in order to give time to companies to adapt to the new requirements, SEBI mandated that the reporting would be on a voluntary basis for the financial year 2021-22. However, from the financial year 2022-23 onwards, BRSR is mandatory for the top 1,000 listed entities.

The pandemic along with the adoption of the Paris Agreement and other initiatives to combat climate change, have been the major contributors that accelerated the relevance of ESG considerations to investors. ESG related reports provide stakeholders with comparable information of the top companies to help them make informed investment choices. ESG criteria are used by socially conscious investors to screen potential investments.

Listed below is an overview of the three criteria used to evaluate companies for ESG investing:

Environment: What kind of impact does the company have on the environment? How does it protect/safeguard the environment? This can include a company's carbon footprint, toxic chemicals involved in its manufacturing processes, its corporate policies addressing climate change and sustainability efforts that make up its supply chain.

Social: How does the company improve its social impact, both within the company and in the broader community? Social factors include everything from LGBTQ+ equality, racial diversity in both the executive suite and staff overall, and inclusion programs and hiring practices. Social criteria examine how a company manages relationships with employees, suppliers, customers, and the communities where it operates.

Governance: How does the company's board and management drive positive change? Governance includes everything from issues surrounding a company's leadership, executive pay, diversity in leadership, how well that leadership responds to and interacts with shareholders' audits, internal controls, and shareholder rights.

With ESG investing becoming more mainstream, SEBI's above disclosure requirements through BRSR have been introduced to keep pace with such investment strategies, and growing concerns about responsible corporate governance and climate change.

(Source: SEBI website)



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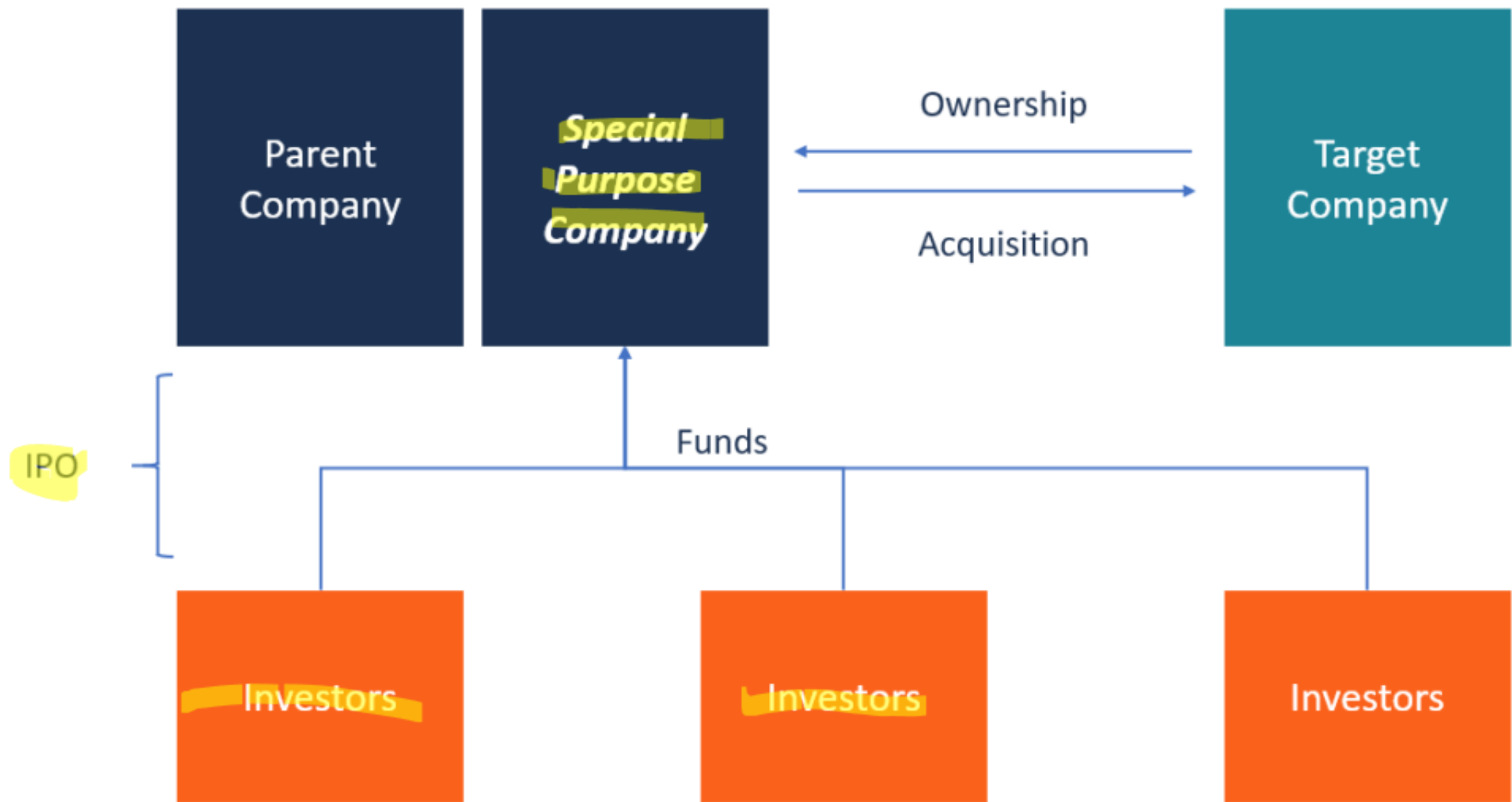
SPECIAL PURPOSE ACQUISITION COMPANIES

STRUCTURE

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Let Us Sum Up





A Special Purpose Acquisition Company (SPAC) is a shell company that raises capital through an initial public offering (IPO) with the purpose of acquiring or merging with an existing private company, effectively taking that company public. Essentially, it's an alternative to a traditional IPO, offering a faster and potentially less costly route for private companies to become publicly traded.

In essence, a SPAC is a tool that can be used by both private companies seeking to go public and investors looking for alternative investment opportunities. However, it's important to understand the risks and potential downsides before participating in a SPAC transaction.



Advantages of SPAC: A Special Purpose Acquisition Company (SPAC) merger offers primary advantages over a traditional IPO:

- a) Speedier execution: SPAC mergers take 12-18 months to complete, faster than a traditional IPO.
- b) Price discovery: Allows negotiation of IPO price before the transaction, offering a strategic advantage in unstable markets.
- c) Additional funding: SPAC sponsors can raise debt or PIPE (Private Investment in Public Equity) to finance the merger and fuel growth, ensuring transaction success.

Additional Benefits:

- d) Reduced Marketing Cost: Lower costs due to SPAC merger process, leveraging PIPE instead of public roadshows.
- e) Ease of access to specialized knowledge: SPAC sponsors provide expertise and networks, often serving on the board.

1-4) Other benefits include higher valuations, greater control over stipulations, regulatory oversight, and simpler public listing compared to high-leverage IPOs.

25.3 DISADVANTAGES OF SPAC

When compared to an initial public offering (IPO), going public via merger of SPACs suffers from the following disadvantages:

- a) **Inability to Track Use:** An investor in a SPAC IPO has no idea about where his funds will be invested and may lose his investments because there is doubt on whether its promoter will be successful in acquiring or merging with a suitable target company in the future. The narrow degree of oversight from the regulators, coupled with an absence of disclosure from the SPAC, means that the retail investors have the risk of hampering with an investment that could be overhyped or occasionally even fraudulent.
- b) **Poor Returns:** Returns may be below the expectations from the SPACs when the initial hype has worn off. Goldman Sachs strategists noted in September 2021, that out of the 172 SPACs that had closed the deal since the start of 2020, the median SPAC had outperformed the Russel 3000 index from its IPO; but in the six months after the deal closure, the Median SPAC had underperformed the Russel 3000 index by 42 percentage points.
- c) **Low Market Cap:** According to Renaissance Capital Strategist, nearly 70% of SPACs that had their IPO in 2021 were trading below \$10 offer price as of Sept 15, 2021. This desolate performance could mean that the SPAC Bubble might be in the process of bursting.
- d) **Increasing Regulatory Oversight:** It is evident, that SPACs have lost some of their dazzle in late 2021 and early 2022 due to increased regulatory oversight and less than exceptional performance.
- e) **Increased Disclosure Norms:** New accounting regulation issued by the Securities and Exchange Commission in April 2021 has led to a drop in the new SPAC filings in the second quarter as compared to the first quarter.
- f) **Shareholding dilution:** SPAC sponsors typically own a 20 percent stake in the SPAC through founder shares or “promote” as well as warrants to purchase additional shares. This is in addition to the warrants that allow them to purchase additional shares. SPAC sponsors also benefit from an earnout component, which enables them to receive more shares when the stock price achieves a specified target over a certain time frame. However, this could result in further dilution for the investors who initially invested in the SPAC.
- g) **Deficiency in available capital:** This can happen due to the possibility of redemption Initial SPAC investors may choose to redeem their shares. In the event that redemptions are higher than anticipated,

25.4 SPAC FORMATION & TIMELINES

The initial public offering (IPO) of a special purpose acquisition company (SPAC) is typically predicated on an investment thesis that is concentrated on a particular industry and geographical region, such as the intention to acquire a technology company in North America, or the experience and history of a sponsor. After the initial public offering (IPO), the proceeds are deposited into a trust account, and the SPAC normally has between 18 and 24 months to find and finalise a merger with a target firm. This process is frequently referred to as de-SPACing. In the event that the SPAC is unable to accomplish a merger within the specified amount of time, the SPAC will be liquidated, and the profits from the IPO will be distributed back to the public shareholders.

The public shareholders of the SPAC have the option to vote against the deal once a target firm has been found and an announcement of a merger has been made. Alternatively, they may choose to redeem their shares. If the SPAC needs additional finances to complete a merger, it may choose to issue debt or additional shares through a transaction known as a private investment in public equity (PIPE) agreement. Alternatively, the SPAC may sell additional assets.

Typical SPAC timeline



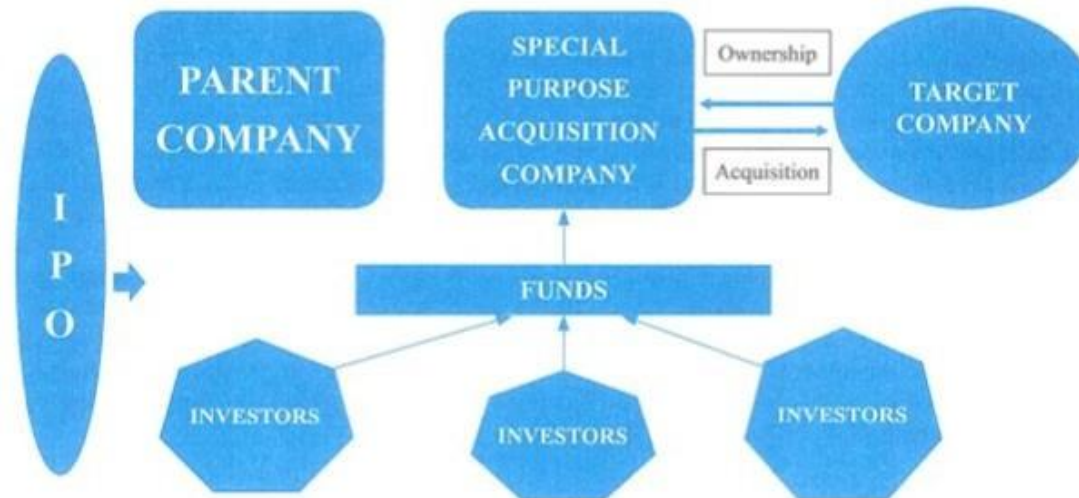
* For illustrative purposes, the SPAC life cycle presented is based on a 24 month timeline to complete a merger

25.7 CHARACTERISTICS OF SPACs

Once the public offering is complete, SPACs are often traded on stock exchanges as units, or as distinct common shares and warrants, depending on the structure of the offering. Because of the liquidity in the trading market, investors have the option of easily exiting their positions. The corporation is obligated to provide the stockholders of the target business with full disclosure, which must include comprehensive audited financial statements and the terms of the proposed business combination. This is done to enable the stakeholders to make an informed decision regarding whether or not they wish to approve the business combination. All of the stakeholders of the SPAC are given voting rights at a shareholder meeting so that they can either agree to or disagree with the proposed combination of the two companies.

The SPAC is often led by an experienced management team that includes at least three people who have previous expertise in private equity, mergers and acquisitions, and/or operating roles. In most cases, the management team of the SPAC is entitled to receive 20% of the equity of the vehicle, excluding the value of any warrants that may be issued. Prior to the business merger, the management team did not receive any cash compensation in the form of wages, finder's fees, or other types of cash compensation. In the event that the management team is unable to successfully complete a business combination, they will not be included in the distribution of assets that results from the liquidation.

25.8 PROCESS



When the SPAC obtains the funds through the IPO, the money is placed in a trust and kept there for a predetermined amount of time or until the acquisition is completed, whichever comes first. The Special Purpose Acquisition Company (SPAC) is obligated to repay the funds to investors after deducting bank and broker costs in the event that the planned acquisition is not completed or the legal requirements are not yet complete.

25.12 FORWARD PURCHASE

Affiliates of the sponsor or institutional investors engage into a forward purchase agreement with the SPAC, devoted to purchase equity (stock or units) in conjunction with the De-SPAC transaction to the extent that the additional funds are necessary to complete the transaction. In situations in which a private equity fund or another investor with a limited investment mandate commits forward purchase, it may be appropriate to condition the obligation of the investor on the De-SPAC Transaction satisfying the investment mandate of the investor. This is because private equity funds and other investors with limited investment mandates often make forward purchase commitments.

25.13 IPO AGREEMENTS

The establishment of the SPAC as well as the initial public offering of the SPAC both involve the customary signing of a series of contracts and other documents. There are a few documents that are universal to all SPACs, such as the registration rights agreement and the certificate of incorporation. The remaining documents are specific to SPACs and cannot be found elsewhere.

25.13.1 Charter

The SPAC Charter is the document that establishes the public shares as well as the founder shares and includes an anti-dilution modification to the conversion ratio for the founder shares. Additionally, it places limitations on the use of the money in the trust account, limiting its applications to only the repurchase of public shares and the determination of a minimum size requirement for the business that would be acquired in a De-SPAC transaction.

25.13.2 Securities Purchase Agreement

The Sponsor and the SPAC enter into a Securities purchase Agreement, which provides for the issue of founder shares to the Sponsor of the SPAC. The number of founder shares is typically set at 25% of the total amount of publicly traded shares that are initially registered on the registration statement. However, the number of founder shares may be decreased or increased through a stock split, dividend, or forfeiture in order to size the founder shares to the initially agreed upon percentage of 25%.

25.13.3 Warrant Agreement

The SPAC and the transfer agent both sign the warrant agreement, which outlines the parameters of the warrant and must be done so before the warrant may be issued. The warrant specifies that the SPAC will be required to comply with an obligation to register the issuing of public shares in the event that the public warrants are exercised. To change the conditions of the warrant agreement, approval is required from fifty percent of the warrant holders.

25.13.4 Promissory Note

With the funds raised through the initial public offering (IPO) as well as the sale of founder shares and founder warrants, SPAC is able to cover all of the costs associated with putting on the offering as well as organising the offering. The legal fees, travel and road show fees, accounting fees, insurance premium, and other incidental charges are included in these costs. Because the SPAC does not have adequate cash to pay off such expenses prior to the completion of the IPO, the sponsor agrees to engage into a promissory note with the SPAC in order to lend funds to the SPAC in the form of a loan until the completion of the SPAC's first public offering.

25.13.5 Sponsor Constituent Document

Often, a new limited liability company is established for the sole purpose of acting as the sponsor for the special purpose acquisition company (SPAC). In the constituent documents, the owners of the sponsors put their relationship with one another and their relative participation in the SPAC in writing. For example, they specify the proportionate amount of the founder warrant purchase price that each will fund as well as their economic ownership of the founder warrants and founder shares.

25.13.6 Letter Agreement

The SPAC reaches a letter agreement with its officers, directors, and sponsor before moving forward with the process. The letter agreement may include a lock up agreement, an indemnification from the sponsor towards SPAC for certain claims that may be made against the trust account, a voting agreement obligating the officer, directors, and sponsor to vote their founder shares and public shares, if any, in favour of the De-SPAC transaction, an obligation to forfeit founder shares to the extent that green shoe is not exercised in full, and an agreement to not sponsor other SPACs until the De-SPAC transaction has been completed. All of these provisions.

25.13.7 Registration Rights Agreement

For the benefit of the sponsor and any other holders of founder shares and founder warrants, the SPAC enters into a registration rights agreement granting the sponsor and such other holders broad registration rights with respect to the founder shares, founder warrants, and any other equity held by the sponsor and such other holders in the SPAC.

25.13.8 Private Placement Warrants Purchase Agreement

In accordance with the terms of the Private placement warrants purchase agreement that it has signed with the SPAC, the sponsor has agreed to purchase founder warrants. The financing of the purchase price occurs one business day before the conclusion of the initial public offering (IPO), as well as one business day before the closing of any exercise of the green shoe option.

25.13.9 Securities Assignment Agreement

The compensation for independent directors is provided by the SPAC in the form of the cost-plus sale of founder shares. Since the directors are not paid any fees in any other way, this is the only method that they can receive their remuneration.

25.14 DE-SPAC PROCESS

The following procedures make up each stage of the De-SPAC process:

- Requirements for Shareholder Approval
- Founder Approbation Votes
- Disclosure of Material on a Super 8-k Form
- Redemption Offer

25.14.1 Shareholder Approval

The procedure of de-SPACing is quite similar to that of merging two public companies, with the exception that the buyer, in this case the SPAC, needs to get approval from the shareholders. On the other hand, voting by shareholders is not necessary for stock exchanges.

25.14.2 Founder Vote Requirements

At the time of the initial public offering (IPO), the founder shareholders, also known as the sponsor or any other holders, will make a commitment to vote in favour of the De-SPAC transaction for any founder shares owned by them as well as any public shares purchased during or after the IPO. Therefore, at least 20 percent of the outstanding shares of the SPAC will be committed to voting in support of the De-SPAC Transaction, and as a result, just 37.5% of the public shares are necessary to accomplish the goal of the majority vote and approve the transaction.

25.14.3 Redemption Offer

SPACs are desirable because they give owners of public shares the option to exchange those shares for a proportional share of the profits stored in a trust account. This is one of the reasons why public share ownership is desirable. The redemption offer will not be valid for public warrants until such time as those warrants are either exercised, exchanged, or otherwise voided in accordance with the terms of a vote. If the time limit to finish the SPAC transaction passes, and the company wants to change its charter documents to allow for a longer period of time to carry out the De-SPAC transaction, then it will be required to redeem the public shares for their proportional share of the amount that is held in the trust account. This must be done before the company can make the change. If the De-SPAC deal does not go through, however, the money will be returned to the public shareholders, but the public warrants, founder shares, and founder warrants will all lose their value and expire.



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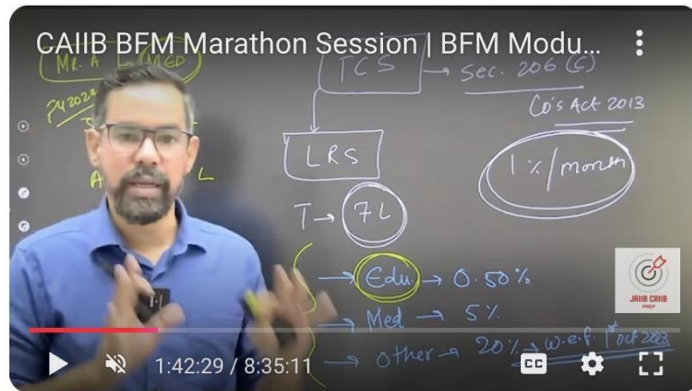
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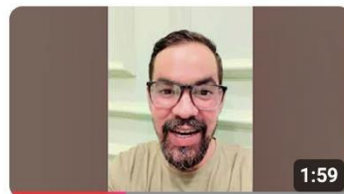


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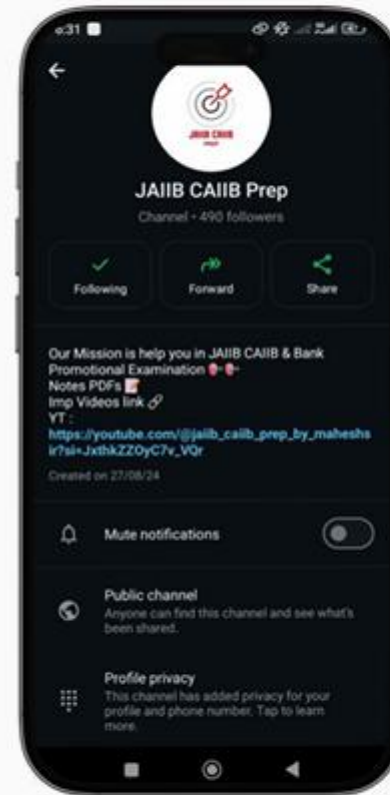
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